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# Beware the rule of officials

During World War II, the British rulers established extreme restrictions upon the Indian economy. After Independence, these evolved into a central planning system. From the late 1980s onward, this has morphed into an ‘administrative state’, the rule by officials who have fine-grained control over the decisions of private persons, with functions that veer into legislative and judicial roles. This involves excessive interference in the lives of private persons. However, for the major part, this is the structure of the Indian state, and to do public policy in India is to operate within the contours of this administrative state.

Our first-order concern in Indian public policy is to improve state capability within this setting. It is useful, however, to re-examine the administrative state from first principles.

## The traditional case for strong contract enforcement

Let us start at the objective of contract enforcement by courts. This is generally seen as being the foundation of business. Firms cannot contract with firms, and governments cannot contract with firms, if contracts are not honoured. Through this, an efficient and independent judiciary is an essential foundation of the market economy.

Economists have, however, been relatively lukewarm about the importance of this contract enforcement. How does poor contract enforcement matter?